Chapter Fifty-Three

Infrastructure Reforms

Infrastructure is an asset—physical or digital—providing a service.

Infrastructure contributes to GDP in two ways. First, by consuming goods and services at the construction stage and, second, by delivering vital services. The consumption of goods and services in the construction of infrastructure gets counted in the form of value add coming from those goods and services. Steel and equipment used in putting together telecommunication networks get counted in manufacturing value added, programming gets counted as IT/professional services, and so on. Services delivered by telecommunication networks get counted as part of the GDP under the group relating to broadcasting.

Creation of efficient, adequate and profitable infrastructure facilities will be the most critical element in building India's $10 trillion economy by 2035. It is necessary to increase the productivity of natural resources, humans, machines and intelligence in every sector of the economy. It is critical for establishing the most competitive manufacturing base in the country. It is vital for the most efficient, competitive and productive generation and delivery of services.

India should develop and articulate an infrastructure vision for 2035. Considering the fact that 30 per cent of GDP contribution comes from fixed capital formation (this should actually go up to 40 per cent in the run up to 2035) and that infrastructure constitutes an important part of fixed capital formation, it is important that all policy issues for realizing infrastructure targets are addressed.